FHSA Guide

First Home Savings Account rules for 2026 · limits · carry-forward · qualifying withdrawals · tax deduction · what to hold

THE TRIPLE TAX ADVANTAGE

	RRSP	TFSA	FHSA
Contributions deductible	Yes	No	Yes
Growth tax-free inside the account	Yes (until withdrawn)	Yes	Yes
Withdrawals tax-free	No, taxed as income	Yes	Yes, for a qualifying first home
Has to be repaid	HBP: over 15 years	No	Never
Deduction line	Line 20800	None	Line 20805
2026 limit	$33,810 (or 18% of income)	$7,000	$8,000 a year, $40,000 lifetime

CONTRIBUTION RULES FOR 2026

Rule	Detail
Who can open one	A Canadian resident aged 18 to 71 who is a first-time home buyer (see below).
Annual limit	$8,000 a year, across all your FHSAs.
Lifetime limit	$40,000.
Room starts when you open it	Unlike a TFSA, room only begins in the year you open your first FHSA. Open one early, even with $0.
Carry-forward	Unused room carries forward, but only up to $8,000. The most you can contribute in one year is $16,000.
Deadline	December 31. There’s no 60-day window like the RRSP; a January 2027 contribution counts for 2027.
Over-contribution	1% per month on the excess, reported on Form RC728. Withdraw or transfer the excess as soon as you notice.
The deduction	Claimed on Line 20805. You can carry it forward to a later, higher-income year, with no time limit.
Couples	Each spouse has their own FHSA and limits. Both can use theirs for the same home.

WHAT YOUR DEDUCTION IS WORTH: 2026 FEDERAL BRACKETS

Taxable income	Federal rate	Federal saving on $8,000
Up to $58,523	14%	$1,120
$58,523 to $117,045	20.5%	$1,640
$117,045 to $181,440	26%	$2,080
$181,440 to $258,482	29%	$2,320
Over $258,482	33%	$2,640

Provincial tax comes on top. The Tax Dashboard adds your province's rates from the province code in Settings & Goals. If you expect a much higher income soon, carrying the deduction forward can turn a $1,120 federal saving into $2,640.

QUALIFYING WITHDRAWALS

Rule	Detail
First-time buyer	At the time of the withdrawal, you didn't live in a home owned by you or your spouse or common-law partner in this calendar year (before the 31st day ahead of the withdrawal) or the 4 previous calendar years.
Written agreement	You have a written agreement to buy or build a qualifying home in Canada before October 1 of the year after the withdrawal.
Live in it	You intend to make it your main home within 1 year of buying or building it.
How to withdraw	Fill in Form RC725 and give it to your FHSA provider. They pay it out with no tax withheld.
No repayment	A qualifying withdrawal is tax-free and never has to be paid back.
Combine with the HBP	You can use your FHSA and the RRSP Home Buyers' Plan ($60,000, repaid over 15 years) for the same home. For a couple: up to $40,000 + $40,000 + $60,000 + $60,000 = $200,000.

CLOSING THE ACCOUNT

Item	Detail
Time limit	The FHSA must close by December 31 of the earliest of: the 15th anniversary of opening your first FHSA, the year you turn 71, or the year after your first qualifying withdrawal.
If you don't buy a home	Transfer the balance to your RRSP or RRIF tax-free. It doesn't use RRSP room; it becomes taxable when you later withdraw it from the RRSP.
Taking it out as cash	A withdrawal that isn't qualifying is added to your income and taxed.
Tax slips	Your provider issues a T4FHSA. File Schedule 15 every year from the year you open the account.

WHAT TO HOLD, BY YEARS TO PURCHASE

Investment	Stage	Why
5+ years: TSE:XEQT, TSE:VFV	Growth	All-equity ETFs make the most of tax-free compounding, with time to recover from dips.
2 to 5 years: TSE:XBAL	Balanced	A 60/40 balanced ETF reduces swings as the purchase gets close.
Under 2 years: TSE:XBB, high-interest savings ETFs	Protect	Protect your down payment. You can't afford a 20% drop right before you buy.
US stocks and US-holding ETFs	Caution	The US treaty exemption doesn't cover FHSAs, so US dividends lose 15%.

This guide is for general education and reflects CRA rules for the 2026 tax year. Rules change. Talk to a tax professional about your situation.

Sources: canada.ca (First Home Savings Account: opening, contributing, qualifying withdrawals, Form RC725, transfers, Schedule 15; 2026 federal tax rates).